

Metric	Value	Threshold (Pass/Monitor/Fail)	Verdict
Valuation Ratios			
P/E Ratio	N/A	<10.0 / 10.0-15.0 / >15.0	N/A
EV/EBITDA	67.6x	<5.0 / 5.0-7.5 / >7.5	FAIL
EV/EBIT	67.6x	<7.0 / 7.0-10.0 / >10.0	FAIL
EV/Revenue	0.8x	>1.0 / 2.0-1.0 / <2.0	FAIL
Price to FCF	3.7x	>15.0 / 30.0-15.0 / <30.0	FAIL
FCF Yield	26.9%	>10.0 / 6.0-10.0 / <6.0	PASS
Profitability			
Gross Margin	39.2%	>40.0 / 30.0-40.0 / <30.0	MONITOR
Operating Margin	1.5%	>15.0 / 5.0-15.0 / <5.0	FAIL
Net Margin	-3.9%	>5.0 / 0.0-5.0 / <0.0	FAIL
ROE	-13.2%	>10.0 / 0.0-10.0 / <0.0	FAIL
ROCE	1.9%	>15.0 / 8.0-15.0 / <8.0	FAIL
Liquidity			
Current Ratio	1.6	>1.5 / 1.0-1.5 / <1.0	PASS
Quick Ratio	0.9	>1.0 / 0.5-1.0 / <0.5	MONITOR
Leverage			
Debt-to-Equity	1.1	<0.5 / 0.5-1.0 / >1.0	FAIL
Interest Coverage	0.2x	>4.0 / 2.0-4.0 / <2.0	FAIL
Net Debt/EBITDA	24.5	<2.5 / 2.5-3.5 / >3.5	FAIL
Efficiency			
Inventory Turnover	4.2x	>4.0 / 2.0-4.0 / <2.0	PASS
Days Sales Outstanding	22 days	<60.0 / 60.0-90.0 / >90.0	PASS
Earnings Quality			
Accruals Ratio	-31.2%	<10.0 / 10.0-20.0 / >20.0	PASS
EBITDA to FCF Conversion	1158.3%	>70.0 / 40.0-70.0 / <40.0	PASS
Adjusted vs Statutory Gap	0.0	<10.0 / 10.0-20.0 / >20.0	PASS
Asset Quality			
Goodwill/Assets	17.6%	<30.0 / 30.0-50.0 / >50.0	PASS

Metric	Value	Threshold (Pass/Monitor/Fail)	Verdict
Capex/Depreciation	0.0	0.8-1.2 / <0.8 or >1.2 / >1.5	MONITOR
Tangible Book Value	£72.7m	>50.0 / 0.0-50.0 / <0.0	PASS
Cash Flow			
Cash Conversion	5.8	>1.0 / 0.8-1.0 / <0.8	PASS
Free Cash Flow	£35.3m	>0.0 / 5.0-0.0 / <5.0	PASS

Summary of Analysis:

- Valuation ratios show a stark disconnect: extremely high EV/EBITDA and EV/EBIT multiples (67.6x) indicate the market prices XP Power at a very high premium relative to earnings, which is a fail. The Price to Free Cash Flow ratio is also poor at 3.7x, failing the threshold. However, the Free Cash Flow Yield is strong at 26.9%, a pass, suggesting the company generates substantial cash relative to its market price, indicating potential undervaluation on a cash basis.
- Profitability metrics are weak. Gross margin at 39.2% is just below the pass threshold, flagged as monitor. Operating margin is very low at 1.5%, and net margin is negative at -3.9%, both failing. Returns on equity and capital employed are negative or very low, indicating poor profitability and operational challenges.
- Liquidity is adequate with a current ratio of 1.6 (pass) and quick ratio of 0.9 (monitor), showing some reliance on inventory but overall sufficient short-term liquidity.
- Leverage is a significant concern. Debt-to-equity at 1.1 is above the pass threshold (fail), interest coverage is very low at 0.2x (fail), and net debt to EBITDA is extremely high at 24.5x (fail), indicating high financial risk and difficulty covering interest expenses.
- Efficiency ratios are strong, with inventory turnover at 4.2x and days sales outstanding at 22 days, both passing, indicating effective working capital management.
- Earnings quality is strong. The accruals ratio is negative at -31.2% (pass), suggesting conservative earnings recognition. EBITDA to free cash flow conversion is very high at 1158.3% (pass), indicating excellent cash conversion. The adjusted vs statutory earnings gap is zero (pass), showing no significant earnings manipulation.
- Asset quality is acceptable. Goodwill to assets ratio is moderate at 17.6% (pass), tangible book value is strong at £72.7m (pass). Capex to depreciation is zero (monitor), which may indicate underinvestment or timing differences.
- Cash flow metrics are very positive, with a cash conversion ratio of 5.8 (pass) and positive free cash flow of £35.3m (pass), supporting the company's cash generation strength despite earnings weakness.

Additional Context from Notes:

- The company has a revolving credit facility of \$140m (£102m) maturing in March 2027, with £78m drawn and £24m undrawn as of June 2025.

- Financial covenants were amended in May 2025 to a leverage ratio (Net Debt to Adjusted EBITDA) max 3.0 and interest cover min 3.0, tested quarterly.
- Base and downside case scenarios show the company remains compliant with covenants and has adequate liquidity, with some modest headroom in severe downside cases.
- Revenue declined 5% from 2024 to 2025 in the base case, with some recovery expected in 2026.
- The company is exposed to foreign exchange risk due to USD-denominated debt.

Auditor's Report:

- The interim financial statements have been reviewed (not audited) by PwC with no material misstatements found.

Ownership Structure (from notes):

- XP Power has a single share class with high free float (~94.88%) and significant institutional ownership by Aberforth Partners LLP (10.84%), Van Lanschot Kempen (9.5%), Steel Partners (7.57%), and others.
- This ownership profile supports good market liquidity and active institutional oversight.

Conclusion:

XP Power presents a mixed financial profile. The company struggles with profitability and high leverage, raising financial risk concerns. However, it demonstrates strong cash flow generation and efficient working capital management, which supports its operational cash health. The market valuation is high on earnings multiples but low on free cash flow multiples, suggesting the market prices in future improvement or strategic value.

The company's liquidity and covenant compliance appear adequate with prudent going concern assumptions. Institutional ownership and high free float provide governance and liquidity benefits.

Investors should be cautious of the high leverage and weak profitability but may find value in the strong cash flow generation. Monitoring operational improvements and leverage reduction will be critical.

Sources:

- Financial Ratios: data/XPP/XPP_agent_ratios.md
- Income Statement: data/XPP/XPP_income_statement.md
- Cash Flow Statement: data/XPP/XPP_cashflow_statement.md
- Balance Sheet: data/XPP/XPP_balancesheet_statement.md
- Notes: data/XPP/XPP_notes.md
- Auditor Report: data/XPP/XPP_auditor_report.md

Signed off by:

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